Banking on modern lines began in India with the foundation of the agency houses of Calcutta and Bombay in the eighteenth and early part of the nineteenth centuries. As the East India Company's trading and administration grew, British merchants progressively took over some of the internal, and a large part of the external trade. The financing of trade, the British army and civil personnel's need to remit savings back home, and facilities for the new administration to remit its revenues from districts to head offices, all required a modern banking system.

The financial needs of the Company and the British community were met by the managing agency houses—trading concerns initially interested mainly in tea and indigo. Later, they diversified into a wide variety of fields becoming the earliest example of a modern conglomerate. The agency houses extended their business to include banking which soon became the most important adjunct to their business. The fortunes they made gave them the name of merchant princes of India, while the money they and the Company servants made was called 'shaking the Pagoda Tree.'[2] The Company's services were the main recruiting ground and many enterprising men set up independent businesses after leaving the employment of the Company and amassed large fortunes. As S.K. Muranjan observed, 'Many of them were men who abjured the limited prospects of the Company's employment for the incalculable prizes of private trade and commerce.'[3]

Although some of the later joint-stock banks rose independently of agency houses, these must be regarded as pioneers in this field. All banks, except one, were started on the basis of unlimited liability. The agency houses had no capital of their own and depended upon deposits for their funds. They financed the movement of crops, issued paper money, and paved the way for the establishment of joint-stock banks, the earliest of which was the Bank of Hindustan established in 1770 by Alexander and Co. The bank was wound up in 1832 when its parent agency failed. Since the agency houses had little capital of their own, and did not possess knowledge of modern European or conventional Indian banking, the vicissitudes and trade crises that visited their agency businesses were wholly transmitted to their banking activities. Thus when an agency house failed, so did its bank. The Calcutta Bank established by Palmer and Co., perished when its agency house failed. However, due to the Company's opposition to starting a bank,